

Final Virtual Stock Exchange Report

Granit Rrafshi – 251113259

MOS 3316 - Investment Management

Josephine Gemson

December 6, 2024

Which positions exceeded your expectations? What conditions caused this?

The first position that exceeded my expectations was HNST- Honest Company Inc., with a return of 83.81%. In January 2023, Carla Vernon was appointed CEO of Honest Company Inc. Carla's background stems from brand growth, which has been prevalent this year in this company's success (Person, 2023).

The next stock that resulted in significant growth was SOFI- SOFI Technologies Inc., providing me with a 55.56% return. It's believed that SOFI's recent success is due to a combination of interest rate cuts, 30% year-over-year growth in revenue, and an expanding customer base (The Globe and Mail, 2024).

Another stock that exceeded my expectations was PLTR- Palantir Technologies Inc., with a 40.37% return. The reason for this is because of their great earning reports to end Q3, increased demand for their AI offerings, and expectations of another positive showing in Q4 (Yahoo!, 2024).

The final stock that surprised me with exceptional returns was BAC- Bank of America Corp., with a return of 19.58%. According to Yahoo Finance, this is primarily due to the re-election of President Donald J. Trump and expectations surrounding his future economy (Yahoo!, 2024).

Which positions underperformed for you? What factors created the performance gap?

The first position that fell beneath expectations was NVDA- NVIDIA Corp, with a return of -2.94%. According to Yahoo Finance, this is due to uncertainty surrounding both the market and the US' plans to curb high-bandwidth memory chip shipments to China (Yahoo!, 2024).

The next position that experienced a loss was NVDL- GraniteShares 2x Long NVDA Daily ETF, which yielded a return of -8.94%. It is important to note that this is a double leveraged ETF that tracks NVIDIA, meaning that when NVIDIA experiences a positive

return/loss this ETF will follow suit, twice fold. Unfortunately, NVIDIA experienced a loss towards the end of this project, causing a major loss from NVDL.

Having a look at Proctor and Gamble (P&G), I took a loss of 3.54% on this position. We believe the stock price has taken a hit because they have missed their revenue expectations for 2024. The expected earnings per share was also missed by 15% (yahoo, 2024)

Another position that underperformed was STX- Seagate TechnologyHoldings PLC, with a -7.64% return. Despite a positive earnings report in Q1 and Q2, this stock began to plummet unexpectedly in October (Yahoo, 2024). Unfortunately due to uncertainty surrounding this stock, I ended up selling at a loss.

What are the key things you learned from your Virtual Stock Exchange experience?

The virtual stock exchange project required me to create a concise and well thought out investment strategy that followed clear trading guidelines. More deliberate, informed stock selections were made under this approach. I calculated stock picks rather than buying on impulse. I conducted thorough research, analyzing earnings reports, revenue forecasts, P/E ratios, and company fundamentals; which gave me more confidence as investors. I felt less fearful of uncertainty and more comfortable with taking measured risks because I took time to understand market trends and assess the financial health of the companies giving me insight to potential risks. Although the money is not real currency, it was a great learning experience. I analyzed potential stocks and discussed my thoughts allowing me to learn valuable investing insights from my own application.

How will your Virtual Stock Exchange experience influence your personal investing in the future?

This Virtual Stock Exchange experience has allowed me to take a practical approach to investing. Being required to make informed stock picks that rely on academic theory allowed me to get a feel of what it's like to make investments using real currency. Moving forward, I will use the experience as well as investing strategies I have learned to create a more optimal portfolio. The first lesson I immediately recognized as a priority in any secure portfolio would be diversity in my portfolio structure. Diversity in my portfolio gave me the ability to simultaneously attack industries with high growth potential with moderately high risk like the technological sector, while still maintaining position in more stable sectors like commodities and defensive assets which remain relatively stable during periods of uncertainty, such as the 2024 presidential election. Another key influencing factor for me with my personal investing in the future would be the importance of avoiding making decisions out of emotion or impulse. This is essential in investment strategy because it can have the highest reward for me if I maintain proper investment discipline. The inclusion of the Bank of America (\$BAC) stock in the portfolio demonstrated a patient and calculated decision that accepted and accounted for the slow growth of the stock, where it experienced a rally of 15% in the last month of the project. The success of this investment and strategy taught me to move forward with investments regardless of emotional triggers. Lastly, an important lesson that I took away from this investment experience was to emphasize the value and importance of forward-thinking and patience in my investment mindset. The investments demonstrated the benefits of targeting industries of high-growth while maintaining diversified exposure to reduce market risk. I realized, what the market can't do is protect me from myself. I learned the importance of not letting emotions, biases, or poor

decisions guide my actions, as I would become my own worst enemy, regardless of how the market reacts.

Benchmark Analysis

The benchmark analysis reveals that the actively managed portfolio achieved a return of 14.27% over the trading period from September 16 to November 29, 2024, outperforming all three passive investment benchmarks. The SPDR S&P 500 ETF (SPY) posted a holding period return (HPR) of 7.06%, the Dow Jones Industrial Average (DJIA) recorded a return of 7.90%, and the Nasdaq-100 Index (NDX) achieved a return of 7.71% (Exhibit 1). Our portfolio outperformed these benchmarks by 7.21%, 6.37%, and 6.56%, respectively, demonstrating the effectiveness of active stock selection and portfolio management strategies during this period (Exhibit 1). While passive strategies typically offer steady returns by mirroring market indices, the portfolio's performance highlights the potential advantages of active management in exploiting market inefficiencies and identifying high-performing investments.

However, this short-term outperformance should be assessed critically, as it may not necessarily align with the Efficient Market Hypothesis (EMH). EMH states that markets reflect all available information, making consistent outperformance challenging. This is why I stated in the presentation that I did not believe in strong-form EMH. If strong-form stood true, the portfolio would not be outperforming the market like it has. The Grossman-Stiglitz Paradox reinforces this perspective, stating analysts have to be able to earn profits to compensate for the costs of conducting market research (Rational Reminder, 2014). This paradox highlights the idea that markets cannot be perfectly efficient, weak-form and semi-strong form may hold true in cases, but there must be incentives for individuals to seek out and act on valuable information.

Exhibits

Exhibit 1 - Benchmark Analysis

ETF	Ticker	September 16th, 2024 (Open)	November 29th, 2024 (Close)	HPR	Portfolio Return	Portfolio Outperformance
SPDR S&P 500 ETF Trust	SPY	\$562.84	\$602.55	7.06%	14.27%	+7.21%
Dow Jones Industrial Average	DJIA	\$41,622.08	\$44,910.65	7.90%	14.27%	+6.37%
Nasdaq-100 Index	NDX	\$19,432.06	\$20,930.37	7.71%	14.27%	+6.56%

**StockTrak competition began Monday September 16th, 2024 and closed Friday November 29th, 2024. We referred to the whole trading period between those two dates and when calculating holding period returns.

Exhibit 2- S&P500 ETF

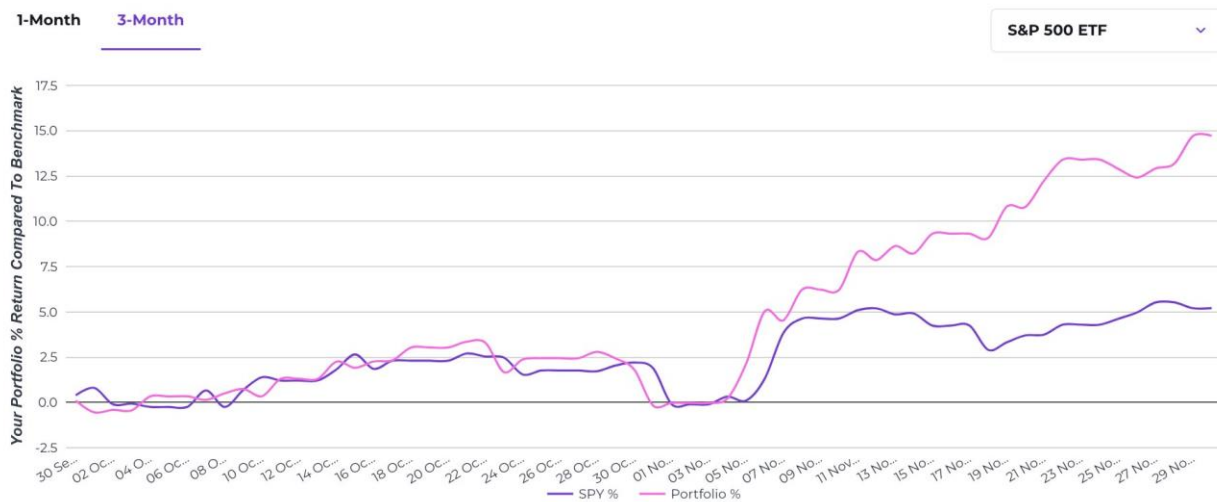


Exhibit 3 - DOW Jones ETF

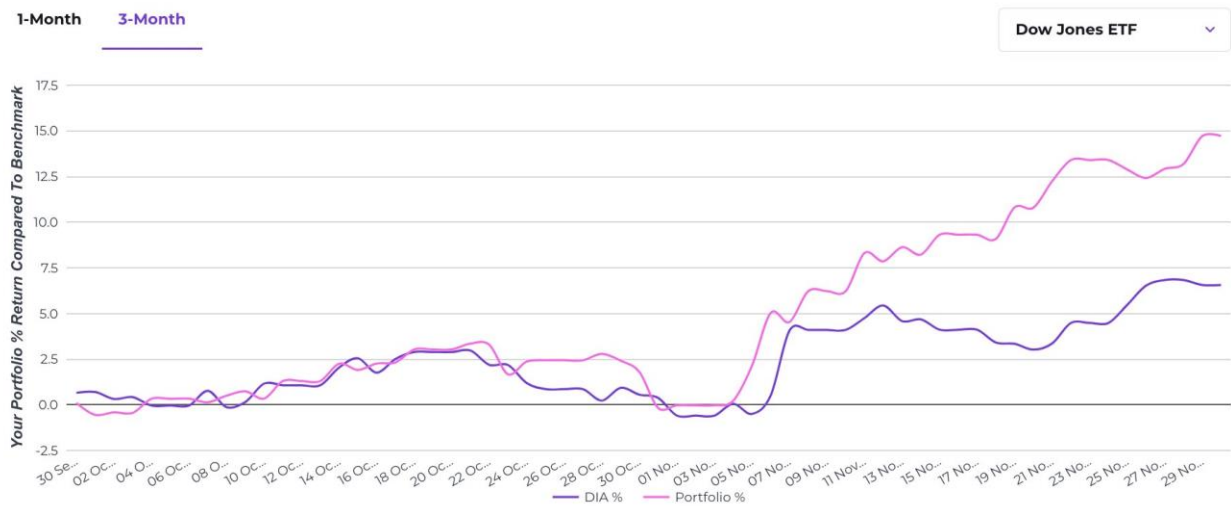
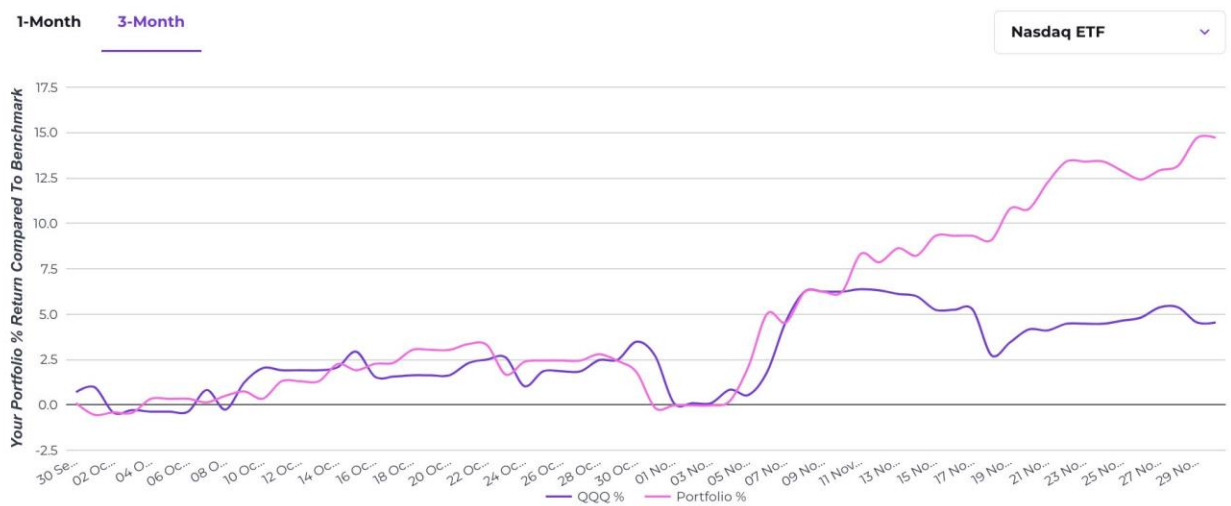


Exhibit 4 - Nasdaq ETF



References

Felix, B. (2019, August 22). *The Grossman-stiglitz paradox*. Rational Reminder.

<https://rationalreminder.ca/blog/2014/1/4/the-grossman-stiglitz-paradox>

Person. (2023, June 7). *Meet Carla Vernón, the new CEO of the Honest Company*. Reckon.

<https://www.reckon.news/news/2023/06/meet-carla-vernon-the-new-ceo-of-the-honest-company.html>

The Globe and Mail. (2024, November 6). *TSX industrials EW index (TXIE) quote - press release*. The Globe and Mail.

<https://www.theglobeandmail.com/investing/markets/indices/TXIE/pressreleases/29428929/sofi-stock-rockets-higher-and-heres-why-its-not-done-growing/#:~:text=Strong%20Financial%20Momentum&text=SoFi's%20tech%20platform%20also%20grew,from%2039%25%20a%20year%20ago.>

Yahoo! (2024, October 23). *Seagate Technology Falls despite Q1 earnings beat and rising margins*.

Yahoo! Finance. <https://finance.yahoo.com/news/seagate-technology-falls-despite-q1-150153347.html>

Yahoo! (2024, November 13). *Why Bank of America stock is on Fire Post trump win*. Yahoo! Finance.

<https://finance.yahoo.com/video/why-bank-america-stock-fire-140000306.html>

Yahoo! (2024, November 25). *Why nvidia stock (NVDA) declined today*. Yahoo! Finance.

<https://finance.yahoo.com/news/why-nvidia-stock-nvda-declined-223703836.html>

Yahoo! (2024, November 15). *Why Palantir (PLTR) stock is up today*. Yahoo! Finance.

<https://finance.yahoo.com/news/why-palantir-pltr-stock-today-165755412.html>

Yahoo! (2024, October 13). *Procter & Gamble First Quarter 2025 earnings: Misses expectations*.

Yahoo! Finance. <https://finance.yahoo.com/news/procter-gamble-first-quarter-2025-121803727.html>